

HR-203 Performance Management

Policy ID: HR-203 Version: 4.0 Classification: Internal
Effective Date: 1 January 2026 Owner: People Operations
Applies to: All permanent employees

1 Purpose and Scope

This policy describes how performance is managed, reviewed, and evaluated. It covers objective setting, ongoing feedback, formal performance reviews, and the process that applies where performance falls short of expectations.

2 Principles

Performance management is continuous. A formal review should contain no surprises: anything raised at a review should already have been discussed with the employee at the time it happened.

Evaluation is based on evidence of what the employee delivered and how they delivered it, assessed against the expectations of their level in the career framework rather than against their colleagues.

3 Objective Setting

Each employee agrees between three and five objectives with their manager at the start of the performance year. Objectives must be specific, measurable, and written down in the human resources system. They may be revised during the year where business priorities change, with the change recorded and dated.

4 Ongoing Feedback

Managers hold a documented one-to-one meeting with each team member at least once every two weeks. Feedback that affects an employee's evaluation must be given at the time and recorded, not saved for a review meeting.

5 Performance Reviews

5.1 Review Cycle and Evaluation

Formal performance reviews take place twice a year. The mid-year review is held in July and is developmental only. The year-end review is held in January, covers the full performance year, and produces the employee's formal performance evaluation and rating.

The review process runs in four steps. The employee first completes a written self-assessment against each objective. The manager then gathers written feedback from at least two colleagues who worked with the employee during the period. The manager writes an evaluation and proposes a rating. Finally, proposed ratings are moderated in a calibration meeting of managers at the same level, chaired by People Operations, to ensure consistency across teams.

The manager discusses the moderated evaluation with the employee in a meeting, and the employee may add written comments to the record. The completed evaluation is shared with the employee no later than five working days after that meeting.

An employee who disagrees with their evaluation may request a review by their manager's manager within ten working days of receiving it. The reviewing manager responds in writing within fifteen working days, and that response concludes the process.

5.2 Ratings

Performance is rated on a five-point scale: outstanding, exceeds expectations, meets expectations, partially meets expectations, and does not meet expectations. Most employees performing well at their level are rated as meeting expectations, and no quota is applied to any rating.

5.3 Underperformance

Where performance is rated as partially meeting or not meeting expectations, the manager agrees a performance improvement plan with the employee. The plan sets measurable goals over a defined period of no less than eight weeks, with fortnightly checkpoints and a written outcome at the end.

6 Records

Objectives, review documents, ratings, and improvement plans are retained in the human resources system for six years. Employees may request a copy of their own records at any time.